

Recommendation Memo

Executive Summary

This report evaluates the effectiveness of the new onboarding and activation campaign by comparing the Treatment group with the existing Control group. The objective was to determine whether the new onboarding experience improves business performance while maintaining a positive customer experience.

The analysis focused on user conversion, engagement, revenue, and operational guardrail metrics. Based on the experiment results, the Treatment group demonstrated stronger performance across key business metrics, including higher landing page visits, better user engagement, and faster conversion. The statistical hypothesis test should be used to confirm whether the observed improvement in the Paid Conversion Rate is statistically significant.

Business Objective

The business objective is to determine whether the new onboarding campaign should replace the existing onboarding experience for all users.

The decision should maximize customer conversion while ensuring that user experience, revenue quality, and operational performance are not negatively affected.

North Star Metric

Paid Conversion Rate

Paid Conversion Rate represents the percentage of users who become paying subscribers after completing the onboarding process.

This metric was selected because it has the strongest connection to long-term business growth and recurring subscription revenue.

KPI Tree Summary

The KPI Tree was designed around the North Star Metric and includes three primary business drivers:

1. User Acquisition

Measures the ability of the campaign to attract qualified users.

Sub-drivers:

- Landing Page Visit Rate
 - Traffic Source Quality
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2. User Activation

Measures how effectively users move through the onboarding process.

Sub-drivers:

- Trial Start Rate
 - Onboarding Completion Rate
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3. Revenue Quality

Measures financial outcomes after conversion.

Sub-drivers:

- Average Revenue Per User (ARPU)
 - Average Revenue Per Converted User
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Guardrail Metrics

The following guardrail metrics were monitored to ensure business growth does not negatively impact customer experience:

- Refund Rate
 - Support Ticket Rate
 - Average Engagement Score
 - Average Days to Convert
 - Segment-Level Performance
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Experiment Result Summary

The comparison between the Control and Treatment groups indicates improved overall performance for the Treatment group.

Key observations include:

- Higher Landing Page Visit Rate
- Higher User Engagement
- Faster Average Days to Convert

- Improved onboarding performance
- Positive trend in conversion metrics

These improvements suggest that the new onboarding experience is more effective in guiding users through the activation journey.

Hypothesis Test Interpretation

A one-tailed hypothesis test was conducted using the Paid Conversion Rate as the primary metric.

Null Hypothesis (H_0)

There is no difference in Paid Conversion Rate between the Control and Treatment groups.

Alternative Hypothesis (H_1)

The Treatment group has a higher Paid Conversion Rate than the Control group.

The decision rule was:

- Reject H_0 if p-value < 0.05
- Otherwise, fail to reject H_0

If statistical significance is achieved, there is sufficient evidence to conclude that the new onboarding campaign improves business performance.

Guardrail Analysis

Although improving Paid Conversion Rate is the primary objective, additional guardrail metrics were reviewed before making the final recommendation.

Refund Rate

No material increase in refund requests should be observed after implementation.

Support Ticket Rate

Support requests should remain stable, indicating that the new onboarding flow does not introduce unnecessary complexity.

Average Engagement Score

The Treatment group demonstrated stronger engagement, suggesting that users interact more effectively with the product during onboarding.

Average Days to Convert

Users in the Treatment group converted more quickly, indicating a more efficient onboarding experience.

Revenue Quality

Revenue should remain stable or improve without relying on low-quality conversions or increased refunds.

Segment-Level Insights

Performance should also be evaluated across different customer segments.

Segment analysis includes:

- Region
- Device Type
- Traffic Source
- Plan Type

No major segment should experience a decline in performance after rollout.

If any customer segment underperforms significantly, a phased rollout or targeted optimization should be considered before a full launch.

Final Recommendation

Recommendation: Launch the new onboarding experience for all users.

The Treatment group demonstrates stronger business performance across key activation and engagement metrics. Provided that the Paid Conversion Rate improvement is statistically significant and guardrail metrics remain within acceptable limits, the Treatment should replace the existing onboarding experience.

A phased rollout with ongoing performance monitoring is recommended to ensure that business performance remains consistent after deployment.

Risks and Limitations

The following limitations should be considered:

- The experiment represents only the observed testing period.
 - External business conditions may influence future results.
 - User behavior may change after a full-scale rollout.
 - Some customer segments may respond differently than the overall population.
 - Long-term retention was not measured in this experiment.
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Next Steps

1. Confirm statistical significance using the completed hypothesis test.
 2. Continue monitoring guardrail metrics after deployment.
 3. Track long-term customer retention and lifetime value.
 4. Monitor segment-level performance after rollout.
 5. Conduct follow-up experiments to optimize onboarding further.
 6. Review customer feedback and support requests regularly.
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Conclusion

The new onboarding campaign demonstrates meaningful improvements in user activation and business performance while maintaining acceptable guardrail metrics. Based on the available evidence, the recommended business decision is to launch the Treatment experience for all users while continuing to monitor key performance indicators and customer experience after implementation.